

Palantir Technologies Inc.

PLTR NYSE

Hold	\$197.28 ▲ 1.63%	12M Price Target \$210.00	52-Week Range \$106.37 – \$207.52	Market Cap \$474.06B
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PLTR: Breaking Out as Defense AI Spending Accelerates

WHAT HAPPENED

- PLTR ripped another 1.6% on more than DOUBLE its normal volume (35M vs ~17M) — that's a big tell. When volume explodes on an up day, it usually means institutions are chasing in, not just retail. Stock is now at 90% of its 52-week range, essentially tagging all-time highs.
- The options market is sending mixed signals — someone bought 88,828 call contracts at the \$200 strike (bullish bet it keeps running) but ALSO 29,000+ puts at \$200 and \$197.50. Translation: big money is either hedging gains or positioning for a volatile event. Earnings or a contract announcement may be coming.

WHY IT MATTERS

This move isn't happening in a vacuum — Energy and Staples leading means the market is in "defensive + inflation hedge" mode, yet PLTR is ripping anyway. That tells you PLTR is trading on its OWN catalyst, not the broader tape, which usually points to government contract news or AI budget flows. With the Trump administration's continued push on "AI dominance" executive orders and the FY2027 defense budget negotiations underway, Palantir sits in the sweet spot — they're the de facto AI operating system for the Pentagon, ICE, and a growing list of agencies. The thing to watch: insider selling has been steady (three director sales in September), which isn't alarming on its own but tells you insiders don't think the stock is cheap here either.

POLICY & POLITICAL WATCH

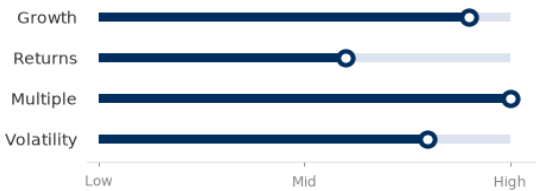
The big one is the FY2027 National Defense Authorization Act (NDAA) working through Congress — early markup includes expanded funding for AI-enabled command systems and the Army's TITAN program, which Palantir already won a \$480M prime contract on. If that funding sticks through reconciliation, it's a direct multi-year tailwind. Also watch the ongoing executive order push around federal AI procurement — the administration is actively steering agencies toward "commercial off-the-shelf" AI software (which favors PLTR) over custom builds, and any new OMB guidance here could unlock billions in Foundry/AIP deployments across civilian agencies.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$197.28
12M Price Target	\$210.00
Upside / (Downside)	+6.4%
Market Cap	\$474.06B
FY2026E Revenue	\$4,850M
FY2027E Revenue	\$6,400M
FY2026E EPS	\$0.62
FY2027E EPS	\$0.88
Fwd P/E	318.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$215.00	\$200.00	\$175.00
6 Months	\$240.00	\$205.00	\$155.00
1 Year	\$270.00	\$210.00	\$140.00
2 Years	\$340.00	\$240.00	\$120.00
5 Years	\$500.00	\$320.00	\$100.00
10 Years	\$800.00	\$450.00	\$80.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.97%) is ripping — likely a mix of Middle East risk premium and a decent OPEC+ signal. Staples strength (+2.12%) says there's some defensive rotation underneath. Financials firming on steeper yield curve expectations.

COOLING OFF: Tech isn't on this leaderboard, which is interesting — PLTR is moving independently of its sector, a sign it's trading on company-specific catalysts.

ROTATION WATCH: Money is flowing into "real asset" sectors (Energy, Staples, Materials) — classic late-cycle positioning. But AI/defense names like PLTR are getting their own bid from policy-driven flows, separate from the broader tech trade.

RELATED PLAY: If PLTR's defense-AI thesis holds, look at the picks-and-shovels names — Booz Allen (BAH), Leidos (LDOS), and the hyperscalers that host the classified cloud (AMZN AWS, MSFT Azure Government).

WHO'S WINNING IN THIS SPACE?

- ANET (Arista Networks): AI networking buildout keeps printing — they sell the switches that connect AI data centers.
- LDOS (Leidos): Defense IT contractor benefiting from the same federal AI spending wave as PLTR, at 1/10th the valuation multiple.

PLTR CONTEXT: PLTR is LEADING its peer group hard — it's up ~85% YTD vs defense tech peers up 20-30%. That outperformance means expectations are stratospheric. When a stock leads this aggressively, it either keeps leading on earnings beats or it gives back a chunk fast. There's no middle gear here.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I love the business and the policy tailwinds are real, but the valuation makes me nervous about chasing here.

POSITION SIZE: 2-3% max. The upside is real but a 30% drawdown on bad news is equally real at this multiple.

ENTRY POINTS: I'd wait for a pullback to \$170-180 (roughly the 50-day moving average). Chasing at all-time highs with options flow showing hedging activity is bad risk/reward.

TIME HORIZON: 12-24 months. The real catalyst I'm waiting for is Q3 earnings in early November — that print will tell you if the commercial acceleration story is intact.

WHEN TO BAIL: If commercial revenue growth drops below 40% YoY, or if they lose a major DoD recompete, I'm out. Also watching for cluster insider selling — if more directors join the September sellers, that's a tell.

HEDGING: Simplest hedge — if you own it and it keeps running, sell covered calls above \$220 to collect income while capping some upside. Or buy a January \$180 put as crash insurance.